

COVER

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UNITED STATES SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE
ACT OF 1934

For the fiscal year ended December 31, 2025

HELIOS MATERIALS, INC.

(Exact name of registrant as specified in its charter)

Delaware | Commission File No. 001-39842 | IRS Employer I.D. No. 84-2210045

Common stock, par value \$0.001 per share, trading under the symbol **HLMX** on the New York Stock Exchange. As of June 30, 2025, the aggregate market value of common stock held by non-affiliates was approximately \$4.9 billion. As of February 14, 2026, there were 83,640,210 shares of common stock outstanding.

ITEM 1

Business

Overview

Helios Materials, Inc. (“Helios,” the “Company,” “we,” or “our”) is a specialty materials company that develops, manufactures, and sells engineered coatings and precision industrial components. Founded in 1998 and headquartered in Columbus, Ohio, we serve customers in the aerospace, semiconductor, automotive, energy, and medical-device end markets across more than 40 countries. We operate 14 manufacturing facilities and employ approximately 7,200 people worldwide.

We manage our business through two reportable segments: **Advanced Coatings** and **Industrial Components**. In the fiscal year ended December 31, 2025, these segments generated net revenue of \$1,104.4 million and \$737.9 million, respectively.

Advanced Coatings

The Advanced Coatings segment produces proprietary thin-film and thermal-barrier coatings applied to turbine blades, semiconductor capital equipment, and medical implants. Approximately 68% of segment revenue in 2025 was recurring, derived from long-term supply agreements with original-equipment manufacturers. The segment’s coatings are qualified into customer production lines through multi-year certification processes that create meaningful switching costs.

Industrial Components

The Industrial Components segment manufactures precision-machined and additively-manufactured components, including sealing systems, fluid-control assemblies, and structural fasteners. Demand in this segment is more cyclical and is correlated with industrial capital-expenditure cycles. The segment competes on engineering capability, lead time, and total cost of ownership.

Customers and Concentration

Our ten largest customers accounted for approximately 41% of consolidated net revenue in 2025. One customer in the Advanced Coatings segment represented 12% of consolidated net revenue. No other customer exceeded 10%.

Backlog

Consolidated backlog was \$1,318.0 million as of December 31, 2025, compared with \$1,142.0 million as of December 31, 2024. We expect to recognize approximately 74% of year-end backlog as revenue during 2026.

Human Capital

As of December 31, 2025, we employed approximately 7,200 full-time employees, of whom approximately 4,400 were engaged in manufacturing and operations and approximately 950 in research and development.

Raw Materials

Our principal raw materials include cobalt, nickel, tantalum, specialty polymers, and rare-earth oxides. Prices for several of these inputs are volatile and, in some cases, sourced from a limited number of suppliers concentrated in specific geographies.

ITEM 1A

Risk Factors

The following is a summary of certain material risks. This section is abridged for demonstration purposes.

Demand for our Industrial Components products is cyclical.

A significant portion of Industrial Components revenue depends on industrial capital-expenditure cycles. A downturn in our customers' end markets has in the past reduced, and could in the future reduce, order volumes, pricing, and capacity utilization, adversely affecting revenue and gross margin.

We depend on a limited number of suppliers for certain raw materials.

Cobalt, tantalum, and certain rare-earth oxides are sourced from a small number of suppliers in concentrated geographies. Supply disruption, export controls, or price spikes could increase cost of revenue and compress gross margin, which was 39.0% in 2025.

Customer concentration could adversely affect results.

Our ten largest customers represented approximately 41% of net revenue in 2025, and one customer represented 12%. The loss of, or a material reduction in orders from, a significant customer could have a material adverse effect on our results of operations.

We have substantial indebtedness.

As of December 31, 2025, we had \$662.4 million of total debt outstanding, including \$400.0 million of senior notes and \$262.4 million under our term loan. Our debt agreements contain financial covenants, including a maximum net-leverage ratio, that could limit our operating flexibility.

A portion of our revenue is denominated in foreign currencies.

Approximately 34% of 2025 net revenue was generated outside the United States. Fluctuations in foreign-currency exchange rates have affected, and may continue to affect, reported revenue and operating results; in 2025 we recognized a \$7.0 million foreign-currency translation loss in other comprehensive income.

Management's Discussion and Analysis (MD&A)

Results of Operations — Year Ended December 31, 2025 Compared with 2024

Net revenue increased \$187.4 million, or 11.3%, to \$1,842.3 million in 2025 from \$1,654.9 million in 2024. The increase was driven by 8.2% organic volume growth in Advanced Coatings, favorable pricing of approximately 2.4%, partially offset by a 0.9% unfavorable foreign-currency impact. Advanced Coatings revenue grew 14.1% to \$1,104.4 million, while Industrial Components revenue grew 7.5% to \$737.9 million.

Cost of revenue was \$1,123.8 million in 2025, or 61.0% of net revenue, compared with \$1,032.7 million, or 62.4% of net revenue, in 2024. **Gross profit** increased to \$718.5 million, and gross margin expanded 140 basis points to 39.0%, primarily reflecting operating leverage on higher volumes and favorable mix toward higher-margin coatings, partially offset by higher cobalt and tantalum input costs.

Research and development expense was \$142.6 million (7.7% of revenue) in 2025, compared with \$128.3 million (7.8%) in 2024. **Selling, general and administrative** expense was \$318.9 million (17.3% of revenue), compared with \$295.4 million (17.9%) in 2024, reflecting disciplined cost control as revenue grew.

During 2025 we recorded a **restructuring charge of \$24.8 million** related to the consolidation of two Industrial Components facilities and associated workforce reductions of approximately 240 positions. We did not record restructuring charges in 2024. We expect annualized run-rate savings of approximately \$18 million beginning in the second half of 2026. This charge is non-recurring and should be normalized when modeling sustainable operating margin.

Operating income was \$232.2 million in 2025, compared with \$198.5 million in 2024. Excluding the restructuring charge, adjusted operating income was \$257.0 million, or 13.9% of net revenue.

Interest expense decreased to \$38.4 million from \$41.2 million as we repaid \$41.5 million of term-loan principal. **Interest and other income** was \$9.1 million, compared with \$6.3 million, reflecting higher yields on invested cash.

Our **effective tax rate** was 22.0% in both 2025 and 2024. The rate exceeded the 21% U.S. statutory rate primarily due to state income taxes and foreign earnings taxed at higher rates, partially offset by the federal research credit and excess tax benefits on stock-based compensation.

Net income was \$158.3 million, or \$1.88 per diluted share, in 2025, compared with \$127.6 million, or \$1.49 per diluted share, in 2024. Diluted weighted-average shares outstanding were 84.2 million in 2025 and 85.6 million in 2024.

Liquidity and Capital Resources

As of December 31, 2025, we had \$312.4 million of cash and cash equivalents and \$84.2 million of short-term investments. We also had \$300.0 million of undrawn capacity under our revolving credit facility.

Operating cash flow was \$297.3 million in 2025, compared with \$260.1 million in 2024, driven by higher net income and a \$48.6 million non-cash stock-based compensation add-back, partially offset by a \$19.4 million net investment in working capital. **Capital expenditures** were \$156.4 million (8.5% of revenue), compared with \$138.7 million in 2024, as we expanded coatings capacity. We define free cash flow as operating cash flow less capital expenditures; free cash flow was \$140.9 million in 2025.

During 2025 we repaid \$41.5 million of debt, paid \$21.3 million of dividends, and repurchased \$6.2 million of common stock. Total debt was \$662.4 million at year-end, and our net-leverage ratio (net debt to adjusted EBITDA) was approximately 0.7x.

Critical Accounting Estimates

Our critical accounting estimates include revenue recognition on over-time contracts, goodwill impairment, inventory valuation, and income taxes. Goodwill of \$488.1 million is tested annually for impairment; no impairment was recorded in 2025.

ITEM 8

Consolidated Statements of Operations

In thousands, except per-share data. Year ended December 31,

	2025	2024	2023
Net revenue	1,842,300	1,654,900	1,520,100
Cost of revenue	1,123,800	1,032,700	968,400
Gross profit	718,500	622,200	551,700
Research and development	142,600	128,300	119,800
Selling, general and administrative	318,900	295,400	274,100
Restructuring charges	24,800	—	12,300
Operating income	232,200	198,500	145,500
Interest expense	(38,400)	(41,200)	(44,700)
Interest and other income, net	9,100	6,300	4,200
Income before income taxes	202,900	163,600	105,000
Provision for income taxes	44,600	36,000	23,100
Net income	158,300	127,600	81,900
Diluted earnings per share	1.88	1.49	0.94
Diluted weighted-average shares	84,200	85,600	86,900

ITEM 8

Consolidated Balance Sheets

In thousands. As of December 31,

	2025	2024
Assets		
Cash and cash equivalents	312,400	248,900
Short-term investments	84,200	61,500
Accounts receivable, net	268,700	241,300
Inventories	224,600	208,400
Prepaid expenses and other current assets	41,900	38,200
Total current assets	931,800	798,300
Property, plant and equipment, net	642,300	598,700
Goodwill	488,100	488,100
Intangible assets, net	156,400	174,900
Deferred tax assets	38,700	42,100
Other non-current assets	52,800	48,600
Total assets	2,310,100	2,150,700
Liabilities and Stockholders' Equity		
Accounts payable	142,300	131,800
Accrued liabilities	118,600	109,400
Current portion of long-term debt	50,000	45,000
Deferred revenue	36,200	31,700
Total current liabilities	347,100	317,900
Long-term debt	612,400	658,900
Deferred tax liabilities	64,800	71,200
Other non-current liabilities	88,700	92,300
Total liabilities	1,113,000	1,140,300
Common stock and additional paid-in capital	724,800	667,600
Retained earnings	493,500	356,500
Accumulated other comprehensive loss	(21,200)	(14,200)

	2025	2024
Total stockholders' equity	1,197,100	1,010,400
Total liabilities and stockholders' equity	2,310,100	2,150,700

ITEM 8

Consolidated Statements of Cash Flows

In thousands. Year ended December 31,

	2025	2024
Operating activities		
Net income	158,300	127,600
Depreciation and amortization	112,800	104,300
Stock-based compensation	48,600	43,200
Deferred income taxes	(3,000)	(2,400)
Changes in accounts receivable	(27,400)	(18,900)
Changes in inventories	(16,200)	(12,100)
Changes in accounts payable and accrued liabilities	19,700	14,600
Changes in deferred revenue	4,500	3,800
Net cash provided by operating activities	297,300	260,100
Investing activities		
Capital expenditures	(156,400)	(138,700)
Purchases of short-term investments, net	(22,700)	(15,300)
Acquisitions, net of cash acquired	—	(84,200)
Net cash used in investing activities	(179,100)	(238,200)
Financing activities		
Repayments of long-term debt	(41,500)	(42,000)
Dividends paid	(21,300)	(19,800)
Repurchases of common stock	(6,200)	(68,300)
Proceeds from employee stock plans	14,300	12,800
Net cash used in financing activities	(54,700)	(117,300)
Net increase (decrease) in cash	63,500	(95,400)
Cash and equivalents, beginning of year	248,900	344,300
Cash and equivalents, end of year	312,400	248,900

Note 14 — Segment Information

We have two reportable segments: Advanced Coatings and Industrial Components. The Chief Operating Decision Maker evaluates segment performance based on segment operating income, which excludes corporate expenses and restructuring charges.

In thousands. Year ended December 31,

NET REVENUE	2025	2024
Advanced Coatings	1,104,400	968,200
Industrial Components	737,900	686,700
Total net revenue	1,842,300	1,654,900
SEGMENT OPERATING INCOME	2025	2024
Advanced Coatings	178,900	151,400
Industrial Components	78,100	72,100
Total segment operating income	257,000	223,500
Corporate and unallocated	(25,000)	(25,000)
Restructuring charges	(24,800)	—
Other corporate items	24,800	—
Consolidated operating income	232,200	198,500

Geographic revenue: United States \$1,215,900; International \$626,400 (34% of total) for 2025.

ITEM 8 — NOTE 9

Note 9 — Debt*In thousands. As of December 31,*

	2025	2024
4.25% Senior Notes due 2029	400,000	400,000
Term Loan A (SOFR + 1.50%), due 2028	262,400	303,900
Revolving credit facility (\$300,000 capacity)	—	—
Total debt	662,400	703,900
Less: current portion	(50,000)	(45,000)
Long-term debt	612,400	658,900

The Senior Notes bear interest at a fixed annual rate of 4.25%, payable semi-annually. The Term Loan A amortizes in quarterly installments and bears interest at SOFR plus a margin of 1.50%. Our credit agreement requires us to maintain a maximum net-leverage ratio of 3.50x and a minimum interest-coverage ratio of 3.00x. We were in compliance with all covenants as of December 31, 2025. Aggregate maturities of debt are: 2026 — \$50,000; 2027 — \$55,000; 2028 — \$157,400; 2029 — \$400,000.

Note 11 — Stock-Based Compensation

We recognized stock-based compensation expense of \$48.6 million, \$43.2 million, and \$39.1 million for 2025, 2024, and 2023, respectively. Expense is allocated approximately 30% to cost of revenue, 25% to research and development, and 45% to selling, general and administrative expense.

As of December 31, 2025, total unrecognized compensation cost related to unvested awards was \$96.4 million, expected to be recognized over a weighted-average period of 2.4 years. Restricted stock units outstanding totaled 3,180 thousand, and performance stock units totaled 1,240 thousand at target. Stock-based compensation is a non-cash expense added back in the cash flow statement; modelers often scrutinize whether it should be treated as a real economic cost.

ITEM 8 — NOTE 12

Note 12 — Income Taxes*Effective tax rate reconciliation.*

	2025	2024
U.S. federal statutory rate	21.0%	21.0%
State income taxes, net of federal benefit	2.1%	2.0%
Foreign rate differential	1.4%	1.5%
Federal research credit	(1.6%)	(1.5%)
Excess tax benefit on stock-based compensation	(0.8%)	(0.9%)
Other, net	(0.1%)	(0.1%)
Effective tax rate	22.0%	22.0%

The provision for income taxes was \$44.6 million in 2025. As of December 31, 2025, we had net deferred tax liabilities of \$26.1 million and federal net operating loss carryforwards of \$18.3 million expiring between 2034 and 2041.